

Why Interested Learners Drop Off Between Demo and Payment

An objection taxonomy, funnel metrics tree, RICE-prioritized solutions and experiment plan for an edtech conversion problem

Suchithra R

Product Management portfolio · September 2026

Illustrative case. Company context, funnel baselines and impact figures are stated assumptions, chosen to make the reasoning transparent and to be replaced with real data.

Contents

Executive summary 3

1. Problem and context 3

2. Core insight: what learners are actually deciding 4

3. Objection taxonomy 4

4. Funnel metrics tree 6

5. Diagnosis: sizing where to act 7

6. Solutions 7

7. RICE prioritization 8

8. Experiment plan 9

9. Risks, ethics and constraints 11

10. Assumptions and validation 11

Executive summary

8% demo-to-paid today	37 of 92 lost after price is shared	3 solutions, ranked with RICE	~10% target in two quarters
---------------------------------	---	---	---------------------------------------

- Of every 100 people who attend a demo, roughly **8 pay**. The two biggest leaks are **fee shared to intent (45 to 18)** and **intent to paid (18 to 8)**.
- **“Price” is rarely the real objection.** It is usually value uncertainty (“will this pay back?”), cash-flow anxiety (“what will I actually pay each month?”) or a trust deficit. Discounting treats the symptom.
- Learners decide in **moments**, not in one big decision: end of demo, price reveal, EMI check, and the “sleep on it” window on days 2 to 7. Each moment has a different dominant objection, so proof and clarity must arrive when the doubt appears.
- Three solutions, prioritized with RICE: **(1) EMI and Total-Cost Clarity Layer** (RICE 12,000), **(2) Moment-Matched Alumni Proof Engine** (11,200), **(3) Personalized Outcome Preview** (3,600), validated manually before any build.
- Target: demo-to-paid from **8% to about 10%** without raising the 30-day refund rate. On 10,000 demo attendees a month that is about **200 extra enrollments, roughly ₹1.6 Cr a month** at an ₹80k ticket (illustrative).

1. Problem and context

Product (assumed). A six-month, instructor-led upskilling program (data, product or full-stack) priced around ₹80,000 and sold through a free live demo followed by a counselor-led conversion call.

Learner (assumed). 22 to 35 year-olds, either early-career switchers or working professionals. Price-sensitive, often financing through EMI, and wary of “placement guarantee” marketing across the category.

Question. Among people who already showed intent by attending a demo, why do about 92% not pay, and what product or funnel changes can move that number?

1.1 Baseline funnel (illustrative, per 100 demo attendees)

Illustrative: users per 100 demo attendees, and users lost at each step

S1 Demo attended		100	
S2 Demo engaged		62	–38 lost
S3 Counselor connected		52	–10 lost
S4 Fee shared		45	–7 lost
S5 Intent signal		18	–27 lost
S6 Paid		8	–10 lost

Stage	Definition	Users	Step conv.	Lost
S1 Demo attended	Joined live or recorded demo for 10+ minutes	100	n/a	n/a
S2 Demo engaged	Watched 70% or more of the demo	62	62%	38
S3 Counselor connected	Completed a counselor call or chat	52	84%	10
S4 Fee shared	Saw fee and plan options	45	87%	7
S5 Intent signal	Started EMI check, paid token or submitted application	18	40%	27
S6 Paid	Full or first-installment payment confirmed	8	44%	10

Reading the funnel. The biggest leaks are the **decision-stage steps (S4 to S5 and S5 to S6)**: those learners have already invested time and heard the price.

2. Core insight: what learners are actually deciding

Learners are not deciding “is this course good?”. They are weighing three things at once:

- **Can I afford the risk?** Money, plus the embarrassment of a wasted year.
- **Will it change my situation?** Job, salary, credibility.
- **Can I trust the people telling me so?** The company, the counselor, the testimonials.

Through the classic adoption-forces lens, drop-off happens when anxiety and inertia outweigh pull and push at a specific moment. The job is to reduce anxiety at the right moment, not to push harder.

Force	What it looks like here
Pull (toward paying)	The demo was engaging, fear of stagnating, a peer got a job
Push (away from status quo)	Stuck role, layoffs in the news, salary plateau
Anxiety (against paying)	“What if I can’t finish?”, “What if placement fails?”, “Is this a scam?”
Inertia (against paying)	Free YouTube content, “I’ll start next month”, family approval pending

2.1 Stated versus real objection

What learners say	What is often underneath	Implication
“It’s too expensive”	“I can’t see payback” or “I don’t understand the monthly burden”	Show payback and EMI clarity, not a discount
“I don’t have time”	“I doubt I can keep up” or “no one showed me what a week looks like”	Show a realistic week and a pace-fit check
“Let me think about it”	“I don’t trust this enough to decide alone”	Give shareable proof and a peer to talk to
“Will I get a job?”	“Show me someone like me who did”	Profile-matched, verifiable alumni proof

3. Objection taxonomy

Five families, each with sub-objections, the funnel moment where it surfaces, and the kind of fix that addresses it.

Family	Sub-objection (learner voice)	Root cause	Surfaces at	Fix type
A • Price and affordability	“₹80k is a lot”	No reference frame for payback	S4 fee shared	Product (ROI framing)
	“What will I actually pay monthly?”	EMI opacity: tenure, interest and processing fee unclear	S4 / S5	Product and funnel
	“Any hidden charges?”	Past mis-selling stories	S4	Funnel (transparency)
	“Loan rejected” / “no credit card”	Financing friction	S5 to S6	Ops and product
B • Outcome and job	“Will I get a job?”	Placement claims feel generic	Demo end, S4	Product and content
	“Is it worth it for my background?”	No personalization	Post-demo	Product
	“Are those salaries real?”	Unverifiable statistics	S4	Content and trust
C • Time and fit	“I work 9 to 7, can I manage?”	Unknown weekly load	Post-demo	Product (preview)
	“What if I fall behind?”	No visible safety net	S5	Product and policy
	“Am I good enough for this?”	Capability anxiety	Demo end	Product (readiness check)
D • Trust and credibility	“Is this company legit?”	Category reputation	Any stage	Proof and policy
	“Are these testimonials fake?”	Curated, unverifiable proof	S3 to S4	Verifiable alumni proof
	“The counselor is pushing me”	Perceived sales pressure	S3	Ops and funnel design
	“What if I want a refund?”	Unclear risk reversal	S5	Policy and visibility

Family	Sub-objection (learner voice)	Root cause	Surfaces at	Fix type
E • Decision process	“Need to ask parents or spouse”	Third-party approver, no shareable material	S4 to S5	Funnel (shareable assets)
	“Comparing other providers”	No differentiated comparison	S4	Content
	“Free content is enough”	Weak paid-versus-free contrast	Demo	Product
	“Not now, next batch”	No cost of delay	S5	Funnel (timing)

3.1 Hypothesized share of lost decision-stage learners

To be validated with lost-reason codes.

Family	Share of loss	Confidence
A. Price and affordability	28%	Medium
B. Outcome and job	24%	Medium
E. Decision process	18%	Low
C. Time and fit	16%	Low
D. Trust and credibility	14%	Low (often hidden inside A and B)

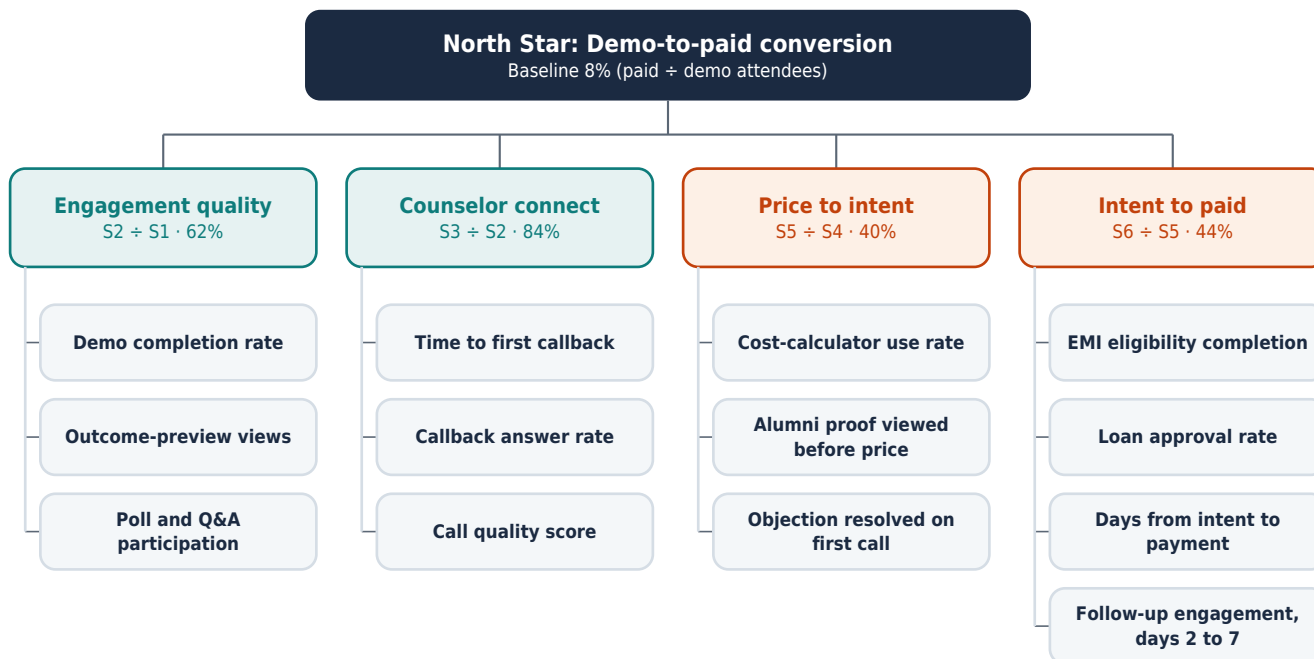
Interview tip. Trust rarely gets named directly. It shows up as price (“too expensive”) or outcome (“not sure about jobs”). Coding lost reasons by **root cause** rather than **stated reason** will likely push family D higher.

3.2 Moment map: when each objection peaks

Moment	Learner’s state	Dominant objection	What they need right now
M1 End of demo	Excited, uncertain	B (outcome), C (capability)	“Could someone like me do this?”
M2 Counselor call	Guarded	D (pressure, trust)	Honest, unpressured information
M3 Price reveal	Sticker shock	A (price), B (payback)	Monthly cost and payback framing
M4 EMI check	Calculating	A (EMI clarity, rejection)	Clear total cost, instant eligibility
M5 Days 2 to 7	Cooling off, consulting others	E (approval), D (trust)	Shareable proof, a peer to talk to

4. Funnel metrics tree

The north star is **demo-to-paid conversion** ($\text{paid} \div \text{demo attendees}$). It decomposes into four branches that different teams can own. The highlighted branches hold the largest leaks.



4.1 Metric definitions

Metric	Definition	Baseline	Owner	Why it matters
Demo-to-paid	$S6 \div S1$	8%	Growth PM	North star
Fee shared to intent	$S5 \div S4$	40%	Conversion PM	Largest absolute leak
Intent to paid	$S6 \div S5$	44%	Payments PM	Second-largest leak
Cost-calculator use	$\text{Users opening calculator} \div S4$	0% (new)	Conversion PM	Adoption of Solution B
Proof exposure at M3	$\text{Users who saw matched proof at or before price} \div S4$	~10%	Growth PM	Adoption of Solution C
EMI eligibility completion	$\text{Completed check} \div \text{started}$	55%	Payments PM	Financing friction
Loan approval rate	$\text{Approved} \div \text{submitted}$	68%	Payments PM	Hard ceiling on conversion
Days intent to paid	Median	6 days	Growth PM	Momentum decay
Objection resolved, first call	$\text{Calls tagged resolved} \div \text{calls}$	Unknown	Sales Ops	Counselor effectiveness

4.2 Guardrail metrics (must not degrade)

Guardrail	Why
30-day refund rate	Guards against converting people who should not buy
Day-30 course engagement	Confirms new enrollees are the right fit
Counselor complaints and CSAT	Guards against pressure tactics
Loan default and early-cancel rate	EMI clarity should not attract unqualified borrowers
Claim-accuracy audit (zero unverified claims)	Regulatory and reputational risk

5. Diagnosis: sizing where to act

Combining *where* learners drop with *why* shows which leaks product and funnel design can actually address.

Funnel leak	Lost per 100	Dominant objection families	Addressable by
S1 to S2 (demo)	38	B, C (uncertainty, capability)	Outcome preview
S2 to S3 (connect)	10	Operations speed, D	Sales ops (out of scope)
S3 to S4 (fee)	7	D (pressure)	Counselor playbook (out of scope)
S4 to S5	27	A, B, D, E	Solutions B, C, A
S5 to S6	10	A (EMI), E, D (refund)	Solutions B, C

Scope decision. S2 to S3 and S3 to S4 are largely sales-operations problems. This case focuses on the **S4 to S5 to S6 decision zone** plus the end of the demo, because that is where product and funnel design can move outcomes.

6. Solutions

Solution A: Personalized Outcome Preview

Problem it solves	“Is this worth it for me?” and “Can I keep up?” (families B and C)
What it is	A 90-second post-demo experience. The learner answers four or five questions (current role, target role, weekly hours, prior skills) and receives a personalized page with a skill-gap map , a realistic week adjusted to their availability, a free sample project and a role and salary range with source and sample size disclosed.
Where in the funnel	M1, end of demo. Delivered in-app and by WhatsApp or email link.
Design principles	Honest ranges, never a single promised number. If fit is poor, say so and suggest a prerequisite path, which builds trust and protects refund rate. The output is shareable, which feeds objection E (“ask my family”).
Success metrics	Preview completion rate; S2 to S3 lift; downstream S5 rate for completers versus non-completers.
Risks	Salary-range data credibility; build cost; completion drop if the form feels long.

Solution B: EMI and Total-Cost Clarity Layer

Problem it solves	“What will I actually pay?” and “Any hidden charges?” (family A, part of D)
What it is	An interactive cost panel shown at or before price reveal and reused in the counselor call: monthly EMI by tenure (3, 6, 12, 18 months) with interest, processing fee and total payable side by side; an instant soft eligibility check with a clear fallback if declined; payback framing (monthly cost against typical salary uplift, assumptions disclosed); a one-screen refund and pause policy ; and a “ send to family ” summary page for the co-decider.
Where in the funnel	M3 and M4 (price reveal and EMI check), and linked from the post-call follow-up.
Success metrics	Calculator use rate; S4 to S5 lift; EMI eligibility completion; days from intent to paid.
Risks	Total cost may look higher than a headline “from ₹X a month”. That is intentional, since transparency should raise trust, but it must be tested. Lender integration effort for soft checks.

Solution C: Moment-Matched Alumni Proof Engine

Problem it solves	“Will I get a job?” and “Is this real?” (families B and D)
What it is	Replace the generic testimonial wall with profile-matched, verifiable proof, timed to the objection moment .
Trust mechanics	Alumni profiles link to public LinkedIn. Cohort statistics show the denominator, the definition of “placed” and the time window. Include the honest picture, such as the median timeline and those not yet placed.

Success metrics	Proof exposure at M3; S4 to S5 lift for exposed versus not exposed; peer-call opt-in and conversion; refund rate as guardrail.
Risks	Alumni supply and consent management; operational load of peer calls; regulatory exposure if outcome claims are not rigorously defined.

Moment	Proof format
M1 End of demo	One 45-second clip from an alum with a similar starting background
M2 Counselor call	Counselor shares a matched alum profile live (a link, not a claim)
M3 Price reveal	Outcome cohort card: "Of learners like you (non-CS, 2 to 4 years' experience): X% placed within 6 months, median change Y", with methodology link
M5 Days 2 to 7	Automated nurture with an opt-in 15-minute peer call with a matched alum

Considered but not prioritized

Idea	Why parked
Pay-after-placement or income-share model	High business-model and financial risk; not a funnel change
Blanket discounting or urgency timers	Treats the symptom, erodes trust, hurts refund rate
Free one-week trial of the paid cohort	Strong idea but heavy operations cost; revisit once Solution A's manual test shows demand

7. RICE prioritization

Assumes 10,000 demo attendees a month, so 30,000 a quarter as the base reach. Impact scale: 0.25 minimal, 0.5 low, 1 medium, 2 high, 3 massive. Effort is in person-months (design, engineering, data, operations). $RICE = (Reach \times Impact \times Confidence) \div Effort$.

Solution	Reach / qtr	Impact	Confidence	Effort	RICE
B. EMI and Total-Cost Clarity	22,500	1	80%	1.5	12,000
C. Alumni Proof Engine	24,000	2	70%	3	11,200
A. Personalized Outcome Preview	18,000	2	50%	5	3,600

7.1 Rationale

- **B (Impact 1, Confidence 80%).** EMI opacity is a well-known conversion blocker and calculators and lender APIs are standard. High confidence; moderate impact because it mostly fixes the S5 to S6 leak.
- **C (Impact 2, Confidence 70%).** Targets the highest-share objection (outcome) and trust, which hides inside price. Confidence sits below B because proof quality depends on alumni supply and execution.
- **A (Impact 2, Confidence 50%).** Biggest potential, since it acts at the earliest moment and is shareable, but the least proven. Effort is high and data credibility is a risk.

7.2 Sensitivity and sequencing

- If alumni supply is strong and C's impact is 3, RICE rises to 16,800 and C overtakes B.
- If A's effort falls to 2.5 months through a no-code prototype, RICE becomes 7,200: still third, but a strong candidate for a cheap first test.
- The top two are close. Because B is cheap and fast, it ships first regardless; C follows on different funnel moments; A is validated manually before any build.

7.3 Expected impact on demo-to-paid (illustrative, not additive)

Solution	Standalone lift	Where it acts
B. EMI and Total-Cost Clarity	+0.8 pp	Mostly S5 to S6
C. Alumni Proof Engine	+1.0 pp	Mostly S4 to S5
A. Personalized Outcome Preview	+0.7 pp	S1 to S3 and shareability
Combined, after overlap discount	+1.8 to +2.5 pp	8% to about 10%

8. Experiment plan

Principles: randomize at the learner level; one primary metric per experiment; guardrails pre-registered; decisions made on a pre-defined rule rather than by peeking. Standard settings are 5% significance and 80% power.

8.1 Pre-work (weeks 0 to 2)

Task	Output
Instrument the events in the metrics tree	Trusted baseline funnel
Recode about 500 recent lost leads by root cause	Validated taxonomy shares
20 interviews (10 dropped-off, 10 paid)	Real objection language, moments and decision partners
Sample-ratio and tracking QA	A/A test passes

8.2 Experiment 1: EMI and Total-Cost Clarity (Solution B)

Hypothesis	If learners see total cost, EMI options and payback framing at price reveal, more will move to intent, because uncertainty about the monthly burden is a top blocker.
Variants	Control: current fee message. Treatment: cost panel, soft EMI check and “send to family” summary.
Population	All learners reaching S4.
Primary metric	S5 ÷ S4 (fee shared to intent). Baseline 40%, minimum detectable effect +4 pp.
Secondary metrics	S6 ÷ S4; EMI check completion; days from intent to paid.
Guardrails	30-day refund rate; loan default and cancel rate; counselor CSAT.
Sample and duration	About 1,600 per arm (3,200 total); roughly 3 to 4 weeks at about 4,500 S4 learners a month.
Decision rule	Ship if the primary metric is significantly positive and guardrails are flat. If it is neutral but EMI completion is up, iterate on the eligibility flow. If negative, inspect sticker-shock segments.

8.3 Experiment 2: Moment-Matched Alumni Proof (Solution C)

Hypothesis	If learners see profile-matched, verifiable proof at the moment they doubt outcomes, more will proceed to intent, because generic proof is not believed.
Design	Three arms. (1) Control: generic testimonial wall. (2) Matched proof at M1 and M3. (3) Matched proof at M1, M3 and M5 plus peer-call offer.
Population	All learners reaching S2.
Primary metric	Demo-to-paid ($S6 \div S1$). Baseline 8%, minimum detectable effect +1.5 pp.
Secondary metrics	$S5 \div S4$; proof-view rate; peer-call opt-in and conversion.
Guardrails	Refund rate; claim-accuracy audit; alumni-request load.
Sample and duration	About 5,500 per arm (16,500 across three arms); roughly 5 to 6 weeks at about 10,000 attendees a month.
Decision rule	Ship the least expensive arm that significantly beats control. Arm 3 must beat Arm 2 by a meaningful margin to justify the peer-call operations cost.
Interaction note	Run on top of shipped B, using layered randomization so B and C are assigned independently.

8.4 Experiment 3: Personalized Outcome Preview (Solution A), staged

Stage	Method	Sample	Pass criteria
3a Concierge test	Counselors or a form plus manual generation produce a personalized roadmap PDF for demo attendees	About 200 learners	Completers show at least 1.3x the S5 rate of matched non-completers; at least 60% say it “felt made for me”
3b Lightweight build	No-code or templated flow with rules-based output, 50/50 split	About 5,500 per arm	+1.5 pp demo-to-paid
3c Full build	Only if 3b passes; roll out with a 10% holdout	n/a	Sustained lift against holdout

The 3a comparison is observational because learners self-select, so treat it as a go or no-go signal for 3b, not proof of impact.

8.5 Reading the results

Risk	Mitigation
Seasonality (salary months, layoff news, batch deadlines)	Concurrent control only; no before-and-after comparisons
Novelty effect	Run through at least one full “days 2 to 7” cycle
Counselor behavior confound	Randomize learners, not counselors; brief counselors identically
Conversion up, quality down	Read refund and Day-30 engagement guardrails at 30 and 60 days
Multiple comparisons	One primary metric per test; secondary metrics are directional

8.6 Timeline

Weeks	Activity
0 to 2	Pre-work: instrumentation, lost-reason recoding, interviews
2 to 3	Build B; A/A check
3 to 7	Experiment 1 live
6 to 8	Build C and set up alumni operations
8 to 14	Experiment 2 live
8 to 12	Experiment 3a concierge test
12 to 16	Experiment 3b, only if 3a passes
16	Portfolio readout and rollout plan

9. Risks, ethics and constraints

Area	Risk	Position
Claims and regulation	Placement and salary claims in edtech draw regulatory and consumer-protection scrutiny in India	Every outcome statistic carries a definition, denominator and date. Verify current advertising and consumer-protection guidance before launch
Persuasion versus manipulation	“Reducing objections” can drift into pressure tactics	No fake scarcity and no hidden total cost. If personalized fit says “not yet”, say so
Financing	Easier EMI can pull in learners who cannot sustain payments	Track default and cancel rates; show total payable prominently
Privacy and consent	Alumni data and learner profiles	Explicit alumni consent; minimal learner data; clear retention
Business trade-off	Honesty about fit may lower short-term conversion	Judge success on refund-adjusted, Day-30-retained conversion, not raw conversion

10. Assumptions and validation

This case uses stated assumptions so the reasoning is easy to follow. With access to real data, these are the sources that would replace them:

Assumption in this report	Real source to validate
Funnel baseline (Section 1.1)	Product analytics and CRM export
Objection shares (Section 3.1)	Lost-reason codes, sampled call transcripts, learner interviews
Moment map (Section 3.2)	Session recordings; WhatsApp and email reply timing
Loan approval and EMI completion rates	Lender dashboards
Alumni supply for matched proof	Alumni database and consent status
Ticket price and revenue impact	Finance